IN NEED FOR A BIG PUSH

Battered by successive disruptions, the sector needs an urgent revival plan

By SONAL KHETARPAL

India's 63 million Micro, Small and Medium Enterprises (MSMEs) contribute a significant 29 per cent to its GDP and 44 per cent to exports and thus are integral to the country's journey towards becoming a 'Viksit Bharat'. However, these businesses have faced successive disruptions, beginning from demonetisation in 2016. The Covid-19 pandemic and then geopolitical disturbances like the Russia-Ukraine war, Israel-Hamas conflict and Red Sea crisis have led to business closures, supply chain disruptions, logistics cost spikes and volatile input costs. Consequently, many MSMEs faced losses due to damaged inventory and forgone sales. "In today's globalised environment," notes Anil Bhardwaj, secretary-general, Federation of Indian MSMEs, "institutional responses must consider the impact of geopolitical developments on small businesses." And that precisely is the task that Jitan Ram Manjhi and his ministry have to embark on forthwith. ■

▶WHAT NEEDS TO BE DONE

TIMELY PAYMENT
Delayed payments—courtesy both the PSUs as well as private enterprises—have been the sector's bane, impeding efforts to raise capital and scale up. Reforms should focus on speeding up arbitration

SUPPORT MECHANISM
A dedicated disaster support mechanism should be established to provide swift assistance during crises. It could include emergency grants, fast-tracked export clearances, logistical support and consular assistance

LOOK EAST
Current policies are still heavily focused on the West. With Asia's share of global GDP projected to reach 60 per cent, it's crucial to reorient trade promotion efforts towards this region

RESTRUCTURING
A liberal restructuring option should be given to MSMEs affected by the pandemic and wars. Currently, if MSME accounts that have exposure of over Rs 5 crore fail to repay EMIs on time, they are blacklisted, affecting their access to financial services



PTI

JITAN RAM MANJHI
79 | HAM(S)
Minister of Micro, Small & Medium Enterprises

↘ **Former CM** The oldest minister in Modi 3.0, Manjhi served as Bihar CM for nine months in 2014-15. Founder of the Hindustani Awam Morcha (Secular), he has been elected from Gaya, his birthplace

↘ **Dalit icon** An unwavering advocate for the Dalit community, he was born to farm labourer parents in 1944 and studied at Magadh University; has been associated with a range of political parties, including the Congress, Janata Dal, Rashtriya Janata Dal and Janata Dal (United)

Minister of State



SHOBHA KARANDLAJE
57 | BJP

↘ **Three-time MP** The first woman MP to represent Bangalore North, the BJP leader has been elected to the Lok Sabha for the third straight time (previously from Udupi Chikmagalur). She served as MoS in Modi 2.0 too, of agriculture & farmers' welfare; and of food processing industries